

Chapter Review

Chapter Summary/Learning Objectives

5-1 Use the resource-based and institution-based views to answer why nations trade.

- The resource-based view suggests that nations trade, because some firms in one nation generate valuable, unique, and hard-to-imitate exports that firms in other nations find it beneficial to import.
- The institution-based view argues that as rules of the game, different laws and regulations governing international trade aim to share gains from trade.

5-2 Understand classical and modern theories of international trade.

- Classical theories include
 - (1) mercantilism,
 - (2) absolute advantage, and
 - (3) comparative advantage.
- Modern theories include
 - (1) product life cycles,
 - (2) strategic trade, and
 - (3) “diamond.”

5-3 Realize the importance of political realities governing international trade.

- The net impact of various tariffs and NTBs is that the whole nation is worse off while certain special interest groups (such as certain industries, firms, and regions) benefit.
- Economic arguments against free trade center on
 - (1) protectionism and

(2) infant industries.

- Political arguments against free trade focus on

(1) national security,

(2) consumer protection,

(3) foreign policy, and

(4) environmental and social responsibility.

5-4 Participate in two leading debates concerning international trade.

- (1) Trade deficit versus trade surplus and
- (2) classical theories versus new realities.

5-5 Draw implications for action.

- Be accurately aware of the comparative advantage of certain locations and leverage their potential.
- Monitor and nurture the current comparative advantage and take advantage of new locations.
- Be politically active to demonstrate, safeguard, and advance the gains from international trade.